

August 28, 2026 09:30 AM GMT

Affirm Holdings Inc | North America

Turning Environment Tailwinds into Extended Advantage

WHAT'S CHANGED

Affirm Holdings Inc (AFRM.O)	From	To
Price Target	\$80.00	\$82.00

GMV, revenue, RLTC and operating profit upside make FY27 guidance look conservative. Strong Card growth, higher usage, repeat originations and retailer-subsidized financing point to widening competitive advantages. Valuation keeps us EW despite rising conviction.

Key Takeaways

- Affirm is one of the best companies in our coverage: GMV growth at scale, execution on credit & capital markets, and profitability growth remain exceptional.
- Affirm's broader financing range and merchant-subsidized offers are deepening differentiation and expanding reach across income cohorts.
- Despite improving quality and execution, valuation keeps us sidelined. PT rises to \$82, with macro and credit-cycle risk limiting multiple upside.

KPIs we think investors should be watching (and find impressive). We think investors give more weight to operational metrics as we think they are the best indicators of through-the-cycle business durability, even as most tend to focus on near-term credit performance (which are currently really strong—see below—and where any cracks can have substantial impact on near-term profitability and valuation multiples). We think those KPIs are indicative of a business that is increasing its ability to offer consistently attractive financing options to an expanding range of consumers, from lower income to high income. Business development metrics we find particularly compelling right now include:

- Affirm Card:** Active card holders are up to 5.2mm (+125% y/y growth with 19% attach rate) while Affirm Card GMV of \$2.8bn is still growing +124% y/y, even as both of these metrics are still not yet benefitting from the Fiserv partnership / bank distribution which could drive a much more material step-function change in growth.
- Amazon relationship remains robust and inflected in the quarter:** On the back of an evergreen Pay in 4 initiative and Prime Day, we estimate Amazon GMV grew ~59% y/y, a material step-function change from the typical high-20s / low-30s run-rate we've observed over the last year. (AMZN is covered by Brian Nowak.)
- Non-interest-bearing business continues to demonstrate Affirm's value prop to merchants:** Originations that are at least partially subsidized by

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Affirm Holdings Inc (AFRM.O, AFRM US)

Payments and Processing | United States of America

Stock Rating	Equal-weight
Industry View	Attractive
Price target	\$82.00
Shr price, close (Aug 27, 2026)	\$77.49
Mkt cap, curr (mm)	\$27,034
52-Week Range	\$100.00-42.10

Fiscal Year Ending	06/26	06/27e	06/28e	06/29e
EPS (\$) **	6.39	3.27	4.36	5.20
Prior EPS (\$) **	6.29	3.00	4.13	-
P/E	14.7	31.6	21.8	17.9
EPS (\$) §	1.25	1.79	2.64	3.81
Div yld (%)	-	-	-	-

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

QUARTERLY EPS (\$)

Quarter	2026	2027e Prior	2027e Current	2028e Prior	2028e Current
Q1	0.42	0.65	0.67	0.89	0.94
Q2	0.59	0.77	0.81	0.98	1.07
Q3	0.51	0.77	0.90	1.08	1.15
Q4	4.87	0.81	0.90	1.18	1.20

e = Morgan Stanley Research estimates

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retailers (Pay in X and 0%) now represents ~28% of Affirm's GMV.

- **Consumers keep coming back to Affirm:** Repeat customer originations were up 41% y/y and comprise 96% of transactions.
- **Transaction frequency is improving on the back of the Card and wallet partnerships:** Affirm is being used ~7x annually as of F4Q26 (+21% y/y), helped in part by May's Big Nothing Promotion and Amazon's June Prime Days.
- **Compelling sales and marketing leverage:** 16% GAAP growth (helped in part via lower SBC) vs. 36% GMV and 33% revenue growth.

Product range is becoming key competitive differentiator. We think the strength of key business development metrics highlighted is allowing Affirm to continue to extend its product differentiation and range of financing options relative to competitors, a process that we think bears emphasizing: Affirm has been working on being able to deliver longer-duration, interest bearing/0% POS financing for more than a decade, and is now able to use that positioning to move into shorter duration offers. We think at this point Affirm's Pay-in-X offers are likely more heavily subsidized by retailers than those of its competitors, while the competition is only recently (last ~2-3 years) looking to increase offerings of the longer duration/interest bearing/0% promotions attractive to higher income borrowers. In particular, we think that the Pay-in-X offering has the potential to offer an easy-to-manage entry for many retailers, which could ultimately develop into expanded 0% promotional offers.

Loss rates, RLTC and operating margin look attractive—the environment may be nearly optimum. We, and the market, had expected a strong print on the back of continued market-leading credit performance and capital markets execution. On the latter, we were particularly intrigued to hear the company's commentary that it is actively having to be highly selective in its capital markets relationships as it currently has more demand for Affirm's paper than it's capable of supplying while meeting its own self-imposed credit performance hurdles.

We are still above the company's '27 outlook. And are comfortable there given current macro. We are raising our estimates across the board and expect FY27 will be another year of fairly meaningful outperformance vs. the company's initial outlook. Net revenue and RLTC increase by ~4% as we expect the company's execution in the capital markets to remain robust and thus, gain-on-sale margins to prove durable with the mix of on- vs. off-balance sheet originations to remain fairly consistent vs. prior years. Continued operating leverage supports even larger increases to GAAP Diluted EPS, with our FY27 and FY28 estimates increasing by ~11% and ~5%, respectively. For further detail on our estimate changes, please refer to [Exhibit 1](#).

Still on the sideline given valuation. But Affirm is becoming one of the best companies in our coverage. We are raising our PT to \$82 from \$80, which is 20x our new CY28 estimate of \$4.11. We are not comfortable assigning a greater multiple than that, given that is a 2-year out based PT (rather than next calendar year EPS), on what remains an entirely credit-based business, with all of the associated macro-related business volatility risks. Valuation notwithstanding, we

think Affirm's product portfolio, consistency of execution, high customer retention, expanding acceptance, differentiated technological development capabilities, and leadership are building one of the best companies in our coverage group.

Exhibit 1: AFRM: Estimate Changes

Affirm Holdings, Inc. (AFRM)		1Q27E			FY27E			FY28E		
	New	Old	Δ	New	Old	Δ	New	Old	Δ	
(\$mm)										
GMV	\$13,943.9	\$14,150.0	(1.5%)	\$65,079.1	\$64,597.1	0.7%	\$84,175.9	\$83,069.3	1.3%	
y/y growth (%)	29.6%	31.5%	(192) bps	29.5%	30.4%	(88) bps	29.3%	28.6%	75 bps	
q/q growth (%)	(3.8%)	5.5%	(930) bps	—	—	—	—	—	—	
Net Revenue	\$1,208.7	\$1,185.8	1.9%	\$5,560.9	\$5,373.5	3.5%	\$7,158.0	\$6,892.0	3.9%	
% of GMV	8.7%	8.4%	29 bps	8.5%	8.3%	23 bps	8.5%	8.3%	21 bps	
y/y growth (%)	29.5%	27.1%	245 bps	30.5%	28.1%	245 bps	28.7%	28.3%	46 bps	
q/q growth (%)	3.7%	7.7%	(404) bps	—	—	—	—	—	—	
Revenue Less Transaction Costs (RLTC)	\$588.5	\$578.0	1.8%	\$2,720.6	\$2,611.8	4.2%	\$3,459.8	\$3,301.3	4.8%	
% of GMV	4.2%	4.1%	14 bps	4.2%	4.0%	14 bps	4.1%	4.0%	14 bps	
RLTC margin (%)	48.7%	48.7%	(5) bps	48.9%	48.6%	32 bps	48.3%	47.9%	43 bps	
y/y growth (%)	29.3%	27.0%	231 bps	30.5%	27.9%	262 bps	27.2%	26.4%	77 bps	
q/q growth (%)	(0.1%)	5.7%	(583) bps	—	—	—	—	—	—	
Adjusted Operating Income	\$352.7	\$351.2	0.4%	\$1,713.0	\$1,613.1	6.2%	\$2,302.5	\$2,193.2	5.0%	
y/y growth (%)	33.7%	33.1%	56 bps	38.7%	34.2%	448 bps	34.4%	36.0%	(155) bps	
q/q growth (%)	(0.2%)	9.7%	(989) bps	—	—	—	—	—	—	
Adjusted Operating Income Margin (%)	29.2%	29.6%	(44) bps	30.8%	30.0%	78 bps	32.2%	31.8%	34 bps	
Diluted GAAP EPS	\$0.45	\$0.44	2.8%	\$2.45	\$2.21	10.6%	\$3.55	\$3.37	5.5%	
y/y growth (%)	95.8%	90.5%	533 bps	(55.6%)	(59.5%)	382 bps	45.0%	52.1%	(700) bps	
q/q growth (%)	(90.2%)	(90.3%)	—	—	—	—	—	—	—	

Source: Company data, Morgan Stanley Research estimates

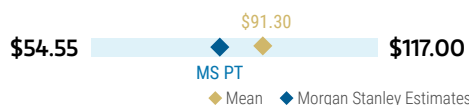
Risk Reward – Affirm Holdings Inc (AFRM.O)

Proven Executor Within a Structurally Share Gaining BNPL Landscape

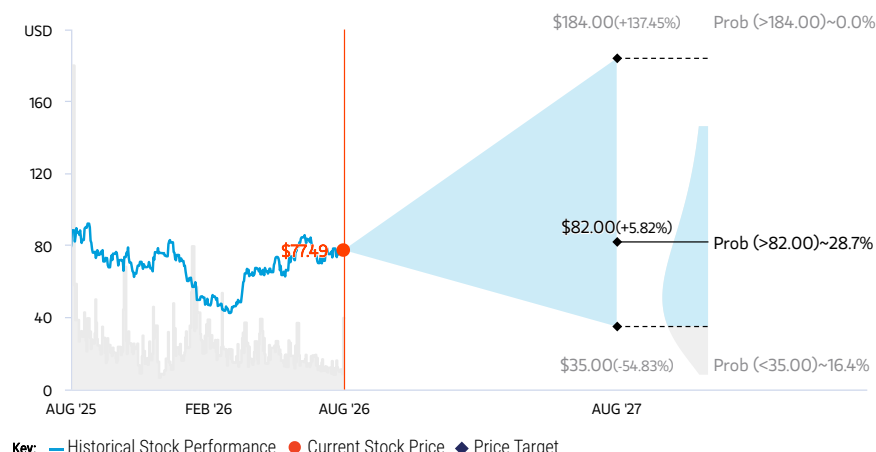
PRICE TARGET \$82.00

Our target applies a 20x multiple to AFRM's CY28 GAAP diluted EPS, valuing AFRM broadly in-line with peers on a growth-adjusted basis.

Consensus Price Target Distribution



RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

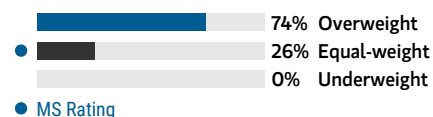


Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 27 Aug 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology [here](#)

EQUAL-WEIGHT THESIS

We are EW on AFRM as we think the multiple now appropriately reflects that the business can maintain robust growth while maintaining delinquencies, improving margins, and attracting and retaining spend from higher income and higher FICO consumers.

Consensus Rating Distribution



Risk Reward Themes

Disruption: *Positive*
Pricing Power: *Negative*
Secular Growth: *Positive*

View descriptions of Risk Rewards Themes [here](#)

BULL CASE \$184.00

25x CY28 DAAP diluted EPS of \$7.38

Robust revenue growth as Apple Pay, Affirm Card, and 0% ramp. In addition to continued traction with merchants, attach rates of Affirm Card prove to be higher than expected, creating a multi-billion-dollar product over the medium-run. Meanwhile, Affirm is able to leverage 0% promos and its relationship with Apple to drive frequency and unlock access to high-income consumers. Macro and interest-rate environment remain favorable for a longer period, warranting a higher multiple

BASE CASE \$80.00

20x CY28 GAAP diluted EPS of \$4.11

Affirm continues to gain share with large partners like Amazon and Shopify, driving more consumer engagement and repeat usage via Affirm Card. Affirm is able to continue to grow GMV (and net revenue) well in excess of 25% through FY27 while material operating leverage and normalization in SBC & warrants translates to an even faster pace of profitability growth. Multiple values Affirm broadly in-line with peers on a growth-adjusted basis.

BEAR CASE \$35.00

15x CY28 GAAP diluted EPS of \$2.35

Questions on sustainability of model arise as capital market access becomes limited and funding costs rise, while higher consumer delinquencies also pressure margin. Macro softness translates to less favorable access to markets, thereby pressuring asset yields and RLTC margin. Adoption of Affirm Card is lighter than expectations while GMV slows given a lack of incremental partnerships and intensifying competition.

Risk Reward – Affirm Holdings Inc (AFRM.O)

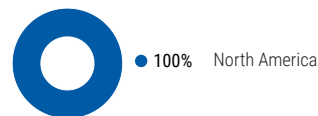
KEY EARNINGS INPUTS

Drivers	Jun 2026	Jun 2027e	Jun 2028e	Jun 2029e
Origination Growth (%)	37.1	29.5	29.3	0.0
Revenue Growth (%)	32.2	30.5	28.7	26.6
Merchant Discount Rate (%)	2.76	2.84	2.94	0.00
Revenue Less Transaction Cost as % of GMV (%)	4.1	4.2	4.1	4.1

INVESTMENT DRIVERS

- Overall eCommerce growth
- Greater merchant acceptance
- Expansion to international markets
- New product launches
- Rising competition
- Credit risk and underwriting
- Ability to move more of its portfolio of balance sheet
- Regulation of BNPL market

GLOBAL REVENUE EXPOSURE



Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies [here](#)

MS ALPHA MODELS

4/5 BEST	24 Month Horizon	4/5 MOST	3 Month Horizon
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Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Faster e-comm growth and/ or adoption of BNPL
- Faster than expected rollout of Apple Pay
- Faster than expected adoption of Affirm Card and credit products
- Faster unlock of high-income consumers

RISKS TO DOWNSIDE

- Credit deterioration/higher interest rates
- Affirm's access to capital is limited and funding costs rise faster
- Competition pressures pricing
- Key man risk associated with Max Levchin, founder and CEO

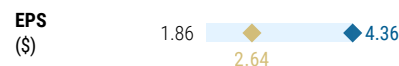
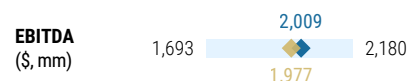
OWNERSHIP POSITIONING

Inst. Owners, % Active	70.9%				
HF Sector Long/Short Ratio	1.4x				
HF Sector Net Exposure	7.1%				

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure - Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Jun 2028e



Mean Morgan Stanley Estimates

Source: Refinitiv, Morgan Stanley Research

Financial Statements

Exhibit 2: AFRM: Income Statement

Affirm Holdings Inc (AFRM) Income Statement Calendar Fiscal	2025A				2026E				2027E				2028E			
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
	1Q25A	2Q25A	3Q25A	4Q25A	1Q26E	2Q26E	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Gross Merchandise Volume	8,558.0	10,357.0	10,758.0	13,800.0	11,600.0	14,100.0	13,943.9	17,848.2	15,102.7	18,184.3	18,332.2	23,210.8	19,498.1	23,134.9	23,411.6	29,474.1
y/y growth (%)	36.0%	43.0%	41.6%	36.0%	35.5%	36.1%	29.6%	29.3%	30.2%	29.0%	31.5%	30.0%	29.1%	27.2%	27.7%	27.0%
q/q growth (%)	(15.7%)	21.0%	3.9%	28.3%	(15.9%)	21.6%	(1.1%)	28.0%	(15.4%)	20.4%	0.8%	26.6%	(16.0%)	18.7%	1.2%	25.9%
Revenue:																
Merchant network revenue	214.0	239.5	251.1	328.4	268.0	302.4	301.2	384.3	338.9	393.2	385.7	489.4	428.7	489.8	479.4	608.2
Card network revenue	58.6	67.1	69.3	73.0	66.5	85.2	88.7	104.1	94.8	105.3	109.6	128.7	117.2	130.2	135.6	159.2
Total network revenue	272.5	306.6	320.5	401.4	334.5	387.5	389.9	488.5	433.6	498.5	495.3	618.1	545.9	620.0	615.0	767.4
y/y growth (%)	39.8%	36.9%	38.2%	32.5%	22.7%	26.4%	21.7%	21.7%	29.6%	28.6%	27.0%	26.5%	25.9%	24.4%	24.2%	24.1%
q/q growth (%)	(10.1%)	12.5%	4.5%	25.3%	(16.7%)	15.9%	0.6%	25.3%	(11.2%)	15.0%	(0.6%)	24.8%	(11.7%)	13.6%	(0.8%)	24.8%
3Y avg seasonality	(11.1%)	15.2%	3.4%	27.6%	(13.7%)	14.4%	2.9%	27.1%	(12.7%)	14.4%	1.5%	25.1%	(13.2%)	14.8%	(0.3%)	25.0%
q/q growth vs. seasonality	1.1% ▼	-2.7% =	1.1% ▼	-2.4% ▼	-3.0% =	1.4% ▼	-2.3% =	-1.8% =	1.4% =	0.5% ▼	-2.1% =	-0.3% =	1.5% =	-1.2% =	-0.5% =	-0.2%
Interest income	402.7	419.1	454.1	493.6	442.6	567.3	619.9	680.6	732.2	755.0	801.8	896.3	960.2	989.8	1,046.5	1,163.2
Gain (loss) on sale of loans	75.8	116.9	119.0	185.2	127.2	165.1	147.1	201.5	172.1	207.2	206.9	262.0	207.8	246.6	249.6	314.2
Servicing income	32.1	33.9	39.7	42.7	44.6	46.1	51.8	57.7	61.5	63.8	68.3	75.8	80.4	82.6	87.9	97.0
Total revenue, net	783.1	876.4	933.3	1,123.0	1,038.8	1,166.0	1,208.7	1,428.2	1,395.5	1,524.5	1,572.4	1,852.2	1,794.3	1,939.0	1,999.0	2,341.8
% of GMV	9.2%	8.5%	8.7%	8.1%	9.0%	8.3%	8.7%	8.0%	9.3%	8.4%	8.6%	8.0%	9.2%	8.4%	8.5%	7.9%
y/y growth (%)	35.9%	33.0%	33.6%	29.6%	32.6%	33.0%	29.5%	27.2%	34.7%	30.8%	30.1%	29.7%	28.2%	27.2%	27.1%	26.4%
q/q growth (%)	(9.6%)	11.9%	6.5%	20.3%	(7.5%)	12.2%	3.7%	18.2%	(2.0%)	8.9%	3.1%	17.8%	(3.1%)	8.1%	3.1%	17.2%
Revenue Less Transaction Costs (RLTC)	352.6	425.1	455.2	542.5	498.2	589.1	588.5	684.4	703.7	744.0	756.6	882.6	881.1	939.5	964.4	1,117.6
y/y growth (%)	52.7%	37.4%	59.6%	29.4%	41.3%	38.6%	29.3%	26.2%	41.2%	26.3%	26.6%	29.0%	25.2%	26.3%	27.5%	26.6%
q/q growth (%)	(15.9%)	20.6%	7.1%	19.2%	(8.2%)	18.2%	(0.1%)	16.3%	2.8%	5.7%	1.7%	16.7%	(0.2%)	6.6%	2.6%	15.9%
Operating expenses:																
Technology and data analytics (GAAP)	152.6	154.6	168.1	184.9	191.6	202.6	193.4	207.1	195.9	213.4	212.3	240.8	224.3	242.4	249.9	292.7
Sales and marketing (GAAP)	74.0	79.6	78.5	98.8	72.9	92.4	96.7	110.7	105.0	114.3	114.0	134.3	130.1	135.7	139.9	163.9
General and administrative (GAAP)	134.3	132.9	144.9	141.2	145.3	146.8	148.1	164.2	160.9	175.3	173.0	203.7	188.4	203.6	209.9	245.9
Total non-transaction operating expenses (GAAP)	360.9	367.0	391.5	424.9	409.8	441.8	438.1	482.0	461.8	503.1	499.2	578.8	542.8	581.7	599.7	702.5
% of revenue	46.1%	41.9%	42.0%	37.8%	39.4%	37.9%	36.3%	33.8%	33.0%	33.0%	31.6%	31.3%	30.3%	30.0%	30.0%	30.0%
Operating income (GAAP)	(8.4)	58.1	63.7	117.6	88.4	147.3	150.4	202.4	241.8	241.0	257.4	303.8	338.3	357.8	364.7	415.0
GAAP operating margin	(1.1%)	6.6%	6.8%	10.5%	8.5%	12.6%	12.4%	14.2%	17.3%	15.8%	16.4%	16.4%	18.9%	18.5%	18.2%	17.7%
Incremental GAAP operating margin	71.1%	60.6%	83.7%	47.5%	37.9%	30.8%	31.5%	27.8%	42.5%	26.1%	29.4%	23.9%	24.4%	28.2%	25.2%	22.7%
EBITDA (GAAP)	55.1	122.0	129.0	192.2	163.4	233.5	249.9	127.2	107.6	169.2	184.4	220.5	266.0	283.7	288.1	335.8
Depreciation and amortization	59.4	64.0	65.3	75.6	75.0	88.2	(75.4)	(75.1)	(71.3)	(71.7)	(72.9)	(74.3)	(72.3)	(74.1)	(76.6)	(79.2)
GAAP EBITDA margin	6.5%	13.9%	13.8%	17.2%	15.7%	20.0%	6.2%	8.9%	12.2%	11.1%	11.7%	12.4%	14.8%	14.4%	14.4%	14.3%
Incremental GAAP EBITDA margin	78.0%	69.7%	91.6%	55.5%	43.9%	38.5%	(19.6%)	(21.6%)	2.0%	(17.9%)	30.1%	24.1%	24.2%	27.6%	24.3%	21.7%
Stock-based compensation	75.6	65.5	85.9	77.8	73.8	67.2	78.6	92.8	91.0	99.1	102.2	120.4	116.6	126.0	129.9	152.2
Other income (expense), net	13.7	13.5	19.4	15.6	18.9	21.8	19.1	22.2	22.9	24.2	24.6	28.7	28.6	30.5	31.3	36.3
Income before income taxes	5.4	71.6	83.0	133.2	107.4	169.1	169.5	224.6	264.7	265.1	282.0	332.5	366.9	388.3	396.0	451.3
Income tax expense (benefit)	2.5	2.3	2.3	3.7	4.5	(1,447.5)	9.2	12.1	14.3	14.3	15.2	18.0	19.8	21.0	21.4	24.4
Net income (GAAP)	2.8	69.2	80.7	129.6	102.9	1,616.6	160.3	212.5	250.4	250.8	266.7	314.6	347.1	367.4	374.7	427.0
Margin on RLTC	0.8%	16.3%	17.7%	23.9%	20.7%	274.4%	27.7%	31.0%	35.6%	33.7%	33.5%	35.6%	39.4%	39.1%	38.8%	38.2%
Basic EPS (GAAP)	0.01	0.21	0.24	0.39	0.31	4.67	0.47	0.61	0.72	0.72	0.76	0.89	0.98	1.03	1.04	1.18
Diluted EPS (GAAP)	0.01	0.20	0.23	0.37	0.30	4.62	0.45	0.60	0.70	0.70	0.74	0.86	0.95	1.00	1.01	1.15
Basic EPS (non-GAAP)	0.46	0.75	0.84	1.04	0.87	7.07	1.04	1.25	1.33	1.36	1.42	1.63	1.69	1.79	1.82	2.06
Diluted EPS (non-GAAP)	0.43	0.72	0.80	0.99	0.84	6.86	1.01	1.22	1.30	1.33	1.38	1.59	1.65	1.74	1.77	2.00
SBC & Warrant-Burdened Net Income	62.3	133.2	146.0	205.2	177.9	1,702.9	235.8	287.6	321.7	322.6	339.7	388.9	419.4	441.5	451.2	506.1
SBC & Warrant-Burdened EPS	\$0.18	\$0.39	\$0.42	\$0.59	\$0.51	\$4.87	\$0.67	\$0.81	\$0.90	\$0.90	\$0.94	\$1.07	\$1.15	\$1.21	\$1.22	\$1.36
Margin analysis																
Technology and data analytics (GAAP)	19.5%	17.6%	18.0%	16.5%	18.4%	17.4%	16.0%	14.5%	14.0%	14.0%	13.5%	13.0%	12.5%	12.5%	12.5%	12.5%
Technology and data analytics (non-GAAP)	9.3%	8.5%	8.4%	7.7%	9.0%	8.5%	20.0%	17.6%	16.9%	16.5%	16.0%	14.9%	14.4%	14.2%	14.2%	13.8%
Sales and marketing (GAAP)	9.5%	9.1%	8.4%	8.8%	7.9%	7.9%	8.0%	7.8%	7.5%	7.5%	7.3%	7.3%	7.3%	7.0%	7.0%	7.0%
Sales and marketing (non-GAAP)	3.0%	3.1%	2.6%	2.6%	2.4%	3.1%	3.7%	3.5%	3.2%	3.2%	3.0%	3.0%	3.0%	2.7%	2.7%	2.7%
General and administrative (GAAP)	17.1%	15.2%	15.5%	12.6%	14.0%	12.6%	12.3%	11.5%	11.5%	11.5%	11.0%	11.0%	10.5%	10.5%	10.5%	10.5%
General and administrative (non-GAAP)	10.6%	9.9%	9.5%	8.0%	9.5%	8.6%	8.3%	7.5%	7.5%	7.5%	7.0%	7.0%	6.5%	6.4%	6.4%	6.4%
Stock-based compensation	9.7%	7.5%	9.2%	6.9%	7.1%	5.8%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%	6.5%
Tax-affected % of GAAP OpEx	11.0%	17.3%	21.3%	17.8%	17.3%	145.4%	17.0%	18.2%	18.6%	18.6%	19.4%	19.7%	20.3%	20.5%	20.5%	20.5%
Enterprise warrant and share-based expense % of revenue	6.0%	6.6%	5.3%	5.9%	4.2%	4.5%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
% of GAAP OpEx	13.0%	13.5%	12.5%	15.5%	10.6%	11.9%	11.0%	11.9%	12.1%	12.1%	12.6%	12.8%	13.2%	13.3%	13.3%	13.3%
Effective tax rate	47.4%	3.3%	2.8%	2.7%	4.2%	(86.0%)	5.4%	5.4%	5.4%	5.4%	5.4%	5.4%	5.4%	5.4%	5.4%	5.4%
Dilution ratio	106.2%	104.8%	105.5%	104.5%	103.2%	103.1%	103.0%	102.8%	102.8%	102.8%	102.8%	102.8%	102.8%	102.8%	102.8%	102.8%
Adjusted operating margin	22.2%	27.0%	28.3%	30.0%	27.0%	30.3%	29.2%	29.9%	32.9%	31.0%	31.5%	30.9%	33.4%	32.8%	32.6%	31.6%
Other income % of RLTC	2.7%	2.5%	3.5%	2.8%	3.2%	3.4%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%
RLTC margin	45.0%	48.5%	48.0%	48.3%	48.0%	50.5%	48.7%	47.5%	50.3%	48.8%	48.1%	47.7%	49.1%	48.5%	48.2%	47.7%

	2025A CY25A	2026E CY26E	2027E CY27E	2028E CY28E	2029E CY29E		2026A FY26A	2027E FY27E	2028E FY28E	2029E FY29E
Gross Merchandise Volume	43,473.0	57,492.1	74,830.0	95,518.6	121,738.0		50,258.0	65,079.1	84,175.9	106,929.4
y/y growth (%)	39.0%	32.2%	30.2%	27.6%	27.4%		37.1%	29.5%	29.3%	27.0%
Revenue:										
Merchant network revenue	1,033.0	1,256.0	1,607.2	2,006.1	2,490.9		1,149.9	1,417.6	1,793.6	2,224.4
Card network revenue	268.1	344.4	438.4	542.1	670.3		294.0	392.8	485.7	600.6
Total network revenue	1,301.0	1,600.4	2,045.6	2,548.2	3,161.2		1,443.9	1,810.5	2,279.4	2,825.0
y/y growth (%)	36.4%	23.0%	27.6%	24.6%	24.1%		29.6%	25.4%	25.9%	23.9%
Interest income	1,769.5	2,400.2	3,185.4	4,159.7	5,357.5		2,047.5	2,787.7	3,648.1	4,721.8
Gain (loss) on sale of loans	497.0	640.9	848.2	1,018.2	1,253.9		596.6	727.9	923.4	1,120.4
Servicing income	148.4	200.1	269.4	348.0	443.4		173.1	234.8	307.1	392.7
Total revenue, net	3,715.9	4,841.6	6,348.6	8,074.2	10,216.0		4,261.1	5,560.9	7,158.0	9,059.9
% of GMV	8.5%	8.4%	8.5%	8.5%	8.4%		8.5%	8.5%	8.5%	8.5%
y/y growth (%)	32.7%	30.3%	31.1%	27.2%	26.5%		32.2%	30.5%	28.7%	26.6%
Revenue Less Transaction Costs (RLTC)	1,775.3	2,360.1	3,087.0	3,902.5	4,976.8		2,085.0	2,720.6	3,459.8	4,409.1
y/y growth (%)	42.6%	32.9%	30.8%	26.4%	27.5%		40.7%	30.5%	27.2%	27.4%
Revenue Less Card Network Fees (RLCNF)	660.2	794.6	862.4	1,009.3	1,430.6		747.1	809.8	919.7	1,108.5
y/y growth (%)	33.8%	37.6%	46.7%	56.9%	68.6%		34.2%	42.6%	51.4%	62.2%
Merchant network revenue	553.3	604.5	713.0	847.8	1,021.6		578.3	686.2	768.7	927.9
Card network revenue	1,544.4	1,771.7	2,043.0	2,426.7	3,161.7		1,668.0	1,885.1	2,202.6	2,659.7
y/y growth (%)	41.6%	36.6%	32.2%	30.1%	60.1%		39.1%	33.9%	30.8%	29.3%
Revenue Less Card Network Fees (RLCNF)	231.0	588.4	1,044.0	1,475.8	(1,165.0)		417.0	835.5	1,257.3	1,750.1
y/y growth (%)	6.2%	12.2%	16.4%	18.3%	(11.4%)		9.8%	15.0%	17.6%	19.3%
Merchant network revenue	65.2%	31.6%	30.2%	25.6%	(123.3%)		46.7%	32.2%	26.4%	25.9%
Card network revenue	495.3	599.0	757.7	1,113.6	(351.9)		719.0	541.9	963.6	1,423.8
y/y growth (%)	26.4%	3.0%	(29.0)	(30.2)	(5.9%)		302.1	(293.6)	(293.7)	(326.3)
Merchant network revenue	13.3%	12.4%	11.9%	14.5%	(14.9%)		16.9%	9.7%	13.5%	15.1%
Card network revenue	73.2%	9.2%	10.3%	24.3%	(125.8%)		56.1%	(13.6%)	26.4%	24.2%
Revenue Less Card Network Fees (RLCNF)	304.8	312.4	412.7	524.8	664.0		304.7	361.5	465.3	588.9
y/y growth (%)	62.2	82.1	100.3	126.8	161.7		75.8	88.4	112.4	143.3
Merchant network revenue	293.2	670.6	1,144.3	1,602.6	(1,003.2)		492.7	923.9	1,269.7	1,893.4
Card network revenue	10.9	(1,421.8)	61.8	86.5	363.8		(1,437.1)	49.9	74.0	263.2
Revenue Less Card Network Fees (RLCNF)	282.3	2,092.3	1,082.5	1,516.1	(1,387.0)		1,929.8	874.0	1,295.7	1,610.2
y/y growth (%)	15.9%	68.7%	35.1%	38.8%	(27.9%)					
Merchant network revenue	0.85	6.15	3.98	4.23	(3.72)		5.71	2.52	3.65	4.44
Card network revenue	0.81	5.97	3.00	4.11	(3.62)		5.52	2.45	3.55	4.33
Revenue Less Card Network Fees (RLCNF)	3.09	10.23	5.74	7.35	(0.13)		9.82	4.99	6.52	7.74
y/y growth (%)	29.4	9.93	5.59	7.16	(0.13)		9.49	4.85	6.35	7.53
Revenue Less Card Network Fees (RLCNF)	546.7	2,404.1	1,372.8	1,818.2	(1,030.1)		2,231.9	1,167.6	1,589.4	1,936.6
y/y growth (%)	1.58	6.86	3.80	4.93	(2.67)		6.39	3.27	4.36	5.20
Revenue Less Card Network Fees (RLCNF)	17.8%	16.4%	13.6%	12.5%	43.4%		17.5%	14.6%	12.8%	12.2%
y/y growth (%)	8.4%	14.2%	16.0%	14.1%	44.7%		8.4%	17.7%	14.8%	13.7%
Merchant network revenue	8.9%	7.7%	7.4%	7.1%	6.8%		8.0%	7.7%	7.2%	6.9%
Card network revenue	2.8%	3.2%	3.1%	2.8%	2.5%		2.7%	3.4%	2.9%	2.6%
y/y growth (%)	14.9%	12.5%	11.2%	10.5%	10.0%		13.6%	11.7%	10.7%	10.2%
Merchant network revenue	9.4%	8.4%	7.2%	6.4%	5.9%		8.9%	7.7%	6.7%	6.2%
Card network revenue	8.2%	6.5%	6.5%	6.5%	6.5%		7.2%	6.5%	6.5%	6.5%
y/y growth (%)	17.0%	49.4%	19.1%	20.5%	9.0%		52.3%	18.1%	20.0%	18.8%
Merchant network revenue	11.9%	8.5%	8.2%	8.3%	8.2%		10.1%	8.2%	8.3%	8.3%
Card network revenue	13.7%	31.7%	(212.0%)	5.4%	(30.3%)		12.7%	11.8%	13.0%	12.6%
y/y growth (%)	105.2%	103.0%	102.8%	102.8%	102.8%		(291.7%)	5.4%	15.4%	15.0%
Merchant network revenue	27.2%	29.2%	31.5%	32.5%	2.6%		29.4%	30.8%	32.2%	33.4%
Card network revenue	3.5%	3.5%	3.3%	3.3%	3.3%		3.6%	3.3%	3.3%	3.3%
y/y growth (%)	47.8%	48.7%	48.6%	48.3%	48.7%		48.9%	48.9%	48.3%	48.7%

Exhibit 3: AFRM: Balance Sheet

Affirm Holdings Inc (AFRM) Balance Sheet	2025A				2026E				2027E				2028E			
	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Calendar	1Q25A	2Q25A	3Q25A	4Q25A	1Q26A	2Q26A	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Fiscal	3Q25A	4Q25A	1Q26A	2Q26A	3Q26A	4Q26A	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E	1Q29E	2Q29E
ASSETS:																
Cash and cash equivalents	1,351.1	1,354.5	1,428.8	1,527.9	1,723.4	1,630.0	2,227.2	2,015.1	2,968.3	3,008.3	4,028.5	4,081.9	3,892.3	3,430.1	4,563.2	4,561.3
Restricted cash	384.8	402.0	668.8	566.7	750.9	803.0	803.0	803.0	803.0	803.0	803.0	803.0	803.0	803.0	803.0	803.0
Securities available for sale	780.2	871.4	812.4	723.4	757.6	972.6	829.4	707.3	610.2	520.4	443.8	378.4	326.5	278.4	237.4	202.5
Loans held for sale	0.0	—	0.0	0.0	0.0	0.0	—	—	—	—	—	—	—	—	—	—
Loans held for investment, net	6,255.5	6,628.6	6,809.4	8,295.4	8,060.7	8,997.4	9,294.0	11,272.7	10,861.5	11,956.4	12,366.2	14,899.3	14,415.0	15,786.5	16,238.3	19,412.4
Loans held for investment	6,630.4	7,025.5	7,235.2	8,773.5	8,573.0	9,560.7	9,891.4	11,961.1	11,554.9	12,712.0	13,167.6	15,816.8	15,342.0	16,791.6	17,298.8	20,617.6
Allowance for loan losses	(375.0)	(396.9)	(425.8)	(478.1)	(512.3)	(563.3)	(597.4)	(688.4)	(693.4)	(755.6)	(801.5)	(917.5)	(927.0)	(1,005.1)	(1,060.5)	(1,205.3)
Accounts receivable, net	220.3	426.2	283.7	268.2	230.7	284.4	525.5	333.8	466.5	586.3	683.7	432.8	591.5	745.8	869.1	547.3
Property, equipment and software, net	543.3	572.6	613.9	639.9	668.3	685.8	682.9	693.5	697.7	708.6	721.1	748.2	764.6	787.2	810.5	850.2
Goodwill	522.3	534.2	529.9	533.4	529.3	524.5	524.5	524.5	524.5	524.5	524.5	524.5	524.5	524.5	524.5	524.5
Intangible Assets	12.4	12.9	12.7	12.6	27.4	26.4	26.4	26.4	25.4	26.4	26.4	26.4	26.4	26.4	26.4	26.4
Commercial agreement assets	65.2	57.2	49.2	44.4	41.4	38.3	33.0	28.4	24.4	21.0	18.1	15.5	13.4	11.5	9.9	8.5
Deferred tax assets	—	—	—	—	—	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0	1,467.0
Other assets	301.1	295.4	269.7	345.0	351.9	360.6	390.0	454.5	614.5	864.6	990.7	1,140.8	1,312.4	1,486.9	1,642.4	1,805.4
Total assets	10,436.2	11,154.9	11,478.6	12,956.9	13,141.6	15,790.1	16,802.9	18,326.2	19,064.1	20,486.6	22,072.8	24,518.0	24,136.6	25,347.3	27,191.8	30,208.4
LIABILITIES:																
Accounts payable	41.1	82.8	58.0	57.2	59.6	84.6	126.2	110.7	90.2	107.2	132.8	124.7	98.6	116.9	152.2	145.7
Payable to third-party loan buyers	177.0	211.7	193.8	130.3	178.3	199.6	272.5	348.8	295.1	355.4	358.2	453.6	381.0	452.1	457.5	576.0
Accrued interest payable	23.9	24.5	25.6	28.8	28.5	28.6	29.6	30.7	31.7	32.8	33.8	34.9	35.9	37.0	38.0	39.0
Accrued expenses and other liabilities	173.6	157.3	165.9	184.5	217.9	199.5	313.4	321.9	289.8	298.8	309.6	339.7	320.3	325.9	354.8	396.9
Convertible senior notes, net	1,152.0	1,153.0	1,127.7	1,127.7	1,128.6	1,129.6	1,129.6	880.9	880.9	880.9	880.9	880.9	880.9	880.9	880.9	880.9
Notes issued by securitization trusts	4,084.9	4,833.9	4,830.8	4,834.7	5,327.6	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2	5,331.2
Funding debt	1,908.7	1,622.8	1,777.9	3,046.8	2,417.7	3,333.2	3,748.9	4,959.1	5,334.5	6,169.2	7,190.8	8,841.0	7,929.4	8,334.0	9,386.7	11,339.2
Total liabilities	7,561.3	8,085.9	8,179.7	9,410.0	9,358.2	10,306.3	10,951.3	11,983.3	12,253.5	13,175.5	14,237.5	16,006.0	14,977.3	15,477.9	16,601.3	18,708.9
STOCKHOLDERS' EQUITY																
Redeemable convertible preferred stock	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—	—
Class A common stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Class B common stock	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0
Additional paid-in capital	6,045.5	6,140.9	6,299.4	6,410.3	6,550.6	6,647.2	6,923.2	7,310.7	7,609.1	7,967.0	8,329.1	8,832.8	9,224.2	9,687.5	10,153.7	10,797.6
Accumulated deficit	(3,126.1)	(3,056.8)	(2,976.1)	(2,846.5)	(2,743.6)	(1,127.0)	(1,035.3)	(931.4)	(762.1)	(619.4)	(457.4)	(284.4)	(28.6)	218.2	473.2	738.2
Accumulated other comprehensive loss	(44.5)	(15.1)	(24.4)	(16.9)	(23.6)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)	(36.4)
Total stockholders' equity	2,874.9	3,069.0	3,298.9	3,546.9	3,783.4	5,483.8	5,851.5	6,342.9	6,810.6	7,311.2	7,835.4	8,512.0	9,159.3	9,869.4	10,590.6	11,499.5
Total Liabilities & Equity	10,436.2	11,154.9	11,478.6	12,956.9	13,141.6	15,790.1	16,802.9	18,326.2	19,064.1	20,486.6	22,072.8	24,518.0	24,136.6	25,347.3	27,191.8	30,208.4

2025A	2026E	2027E	2028E	2029E
CY25A	CY26E	CY27E	CY28E	CY29E
1,527.9	2,015.1	4,081.9	4,561.3	5,098.3
566.7	803.0	803.0	803.0	803.0
723.4	707.3	378.4	202.5	108.3
0.0	—	—	—	—
8,295.4	11,272.7	14,899.3	19,412.4	25,220.1
8,773.5	11,961.1	15,816.8	20,617.6	26,795.6
(478.1)	(688.4)	(917.5)	(1,205.3)	(1,575.6)
268.2	333.8	432.8	547.3	693.4
639.9	693.5	748.2	850.2	1,015.1
533.4	524.5	524.5	524.5	524.5
12.6	26.4	26.4	26.4	26.4
44.4	28.4	15.5	8.5	4.7
—	1,467.0	1,467.0	1,467.0	1,467.0
345.0	454.5	1,140.8	1,805.4	2,462.7
12,956.9	18,326.2	24,518.0	30,208.4	37,423.5
57.2	110.7	124.7	145.7	1,044.0
130.3	348.8	453.6	576.0	737.9
28.8	30.7	34.9	39.0	43.2
184.5	321.9	339.7	396.9	2,843.1
1,127.7	880.9	880.9	880.9	880.9
4,834.7	5,331.2	5,331.2	5,331.2	5,331.2
3,046.8	4,959.1	8,841.0	11,339.2	14,987.7
9,410.0	11,983.3	16,006.0	18,708.9	25,379.1
—	—	—	—	—
0.0	0.0	0.0	0.0	0.0
0.0	0.0	0.0	0.0	0.0
6,410.3	7,310.7	8,832.8	10,797.6	13,319.4
(2,846.5)	(931.4)	(284.4)	738.2	(1,238.7)
(16.9)	(36.4)	(36.4)	(36.4)	(36.4)
3,546.9	6,342.9	8,512.0	11,499.5	12,044.4
12,956.9	18,326.2	24,518.0	30,208.4	37,423.5

2025A	2027E	2028E	2029E
FY26A	FY27E	FY28E	FY29E
1,630.0	3,008.3	3,430.1	3,669.4
803.0	803.0	803.0	803.0
972.6	520.4	278.4	149.0
0.0	—	—	—
8,997.4	11,956.4	15,786.5	20,435.0
9,560.7	12,712.0	16,791.6	21,746.8
(563.3)	(755.6)	(1,005.1)	(1,311.8)
284.4	586.3	745.8	940.1
685.8	708.6	787.2	919.2
524.5	524.5	524.5	524.5
26.4	26.4	26.4	26.4
38.3	21.0	11.5	6.3
1,467.0	1,467.0	1,467.0	1,467.0
360.6	864.6	1,486.9	2,136.3
15,790.1	20,486.6	25,347.3	31,076.2
84.6	107.2	116.9	137.8
199.6	355.4	452.1	572.1
28.6	32.8	37.0	41.1
199.5	298.8	325.9	384.2
1,129.6	880.9	880.9	880.9
5,331.2	5,331.2	5,331.2	5,331.2
3,333.2	6,169.2	8,334.0	10,578.4
10,306.3	13,175.5	15,477.9	17,925.8
—	—	—	—
0.0	0.0	0.0	0.0
0.0	0.0	0.0	0.0
6,647.2	7,967.0	9,687.5	11,889.9
(1,127.0)	(619.4)	218.2	1,296.9
(36.4)	(36.4)	(36.4)	(36.4)
5,483.8	7,311.2	9,869.4	13,150.4

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: AFRM: Cash Flow Statement

Affirm Holdings Inc (AFRM) Statement of Cash Flows Calendar Fiscal	2025A				2026E				2027E				2028E			
	Mar-25 1Q25A	Jun-25 2Q25A	Sep-25 3Q25A	Dec-25 4Q25A	Mar-26 1Q26A	Jun-26 2Q26A	Sep-26 3Q26E	Dec-26 4Q26E	Mar-27 1Q27E	Jun-27 2Q27E	Sep-27 3Q27E	Dec-27 4Q27E	Mar-28 1Q28E	Jun-28 2Q28E	Sep-28 3Q28E	Dec-28 4Q28E
Cash Flow from Operating Activities																
Net income	2.8	69.2	80.7	129.6	102.9	1,616.6	160.3	212.5	250.4	250.8	266.7	314.6	347.1	367.4	374.7	427.0
Adjustments																
Provision for losses	147.3	156.6	162.8	214.2	196.5	223.2	228.5	292.5	244.9	294.9	300.4	380.4	322.9	383.1	387.7	488.1
Amortization of premiums and discounts on loans	(60.5)	(62.0)	(65.1)	(78.9)	(81.5)	(80.0)	(89.3)	(99.8)	(107.0)	(110.1)	(117.1)	(130.6)	(140.0)	(144.1)	(152.5)	(169.2)
(Gain) loss on sales of loans	(75.8)	(116.9)	(119.0)	(185.2)	(127.2)	(165.1)	(147.1)	(201.5)	(172.1)	(207.2)	(206.9)	(262.0)	(207.8)	(246.6)	(249.6)	(314.2)
Gain on extinguishment of debt	-	-	(1.5)	(0.0)	-	-	-	-	-	-	-	-	-	-	-	-
Changes in fair value of servicing assets and liabilities	0.8	1.7	(0.1)	2.9	(1.0)	(0.4)	-	-	-	-	-	-	-	-	-	-
Amortization of commercial agreements	10.9	8.0	8.1	4.8	3.0	3.1	5.4	4.6	3.9	3.4	2.9	2.5	2.2	1.9	1.6	1.4
Amortization of debt issuance costs	10.3	7.1	6.8	7.2	6.7	7.4	10.7	12.0	15.9	17.1	19.7	23.0	28.3	25.4	26.7	30.0
Amortization of discount on securities available for sale	(7.6)	(9.8)	(10.0)	(8.3)	(7.8)	(9.4)	(12.4)	(10.6)	(9.0)	(7.8)	(6.6)	(5.7)	(4.8)	(4.2)	(3.6)	(3.0)
Commercial agreement warrant expense	36.1	41.5	41.0	61.2	40.5	49.6	45.5	53.8	52.7	57.4	59.3	69.8	67.6	73.1	75.3	88.2
Stock-based compensation	75.6	65.5	85.9	77.8	73.8	67.2	78.6	92.8	91.0	99.1	102.2	120.4	116.6	126.0	129.9	152.2
Depreciation and amortization	59.5	64.0	65.3	75.6	75.1	87.3	75.4	75.1	76.3	76.7	77.9	79.3	82.3	84.1	86.6	89.2
Deferred income tax expense (benefit)	-	-	-	-	-	(1,455.2)	-	-	-	-	-	-	-	-	-	-
Other	12.1	3.7	(4.9)	(14.2)	(13.0)	(4.0)	-	-	-	-	-	-	-	-	-	-
Purchases of loans held for sale	(789.3)	(338.2)	(749.2)	(728.2)	(612.1)	(509.9)	(1,929.5)	(2,469.8)	(2,089.9)	(2,516.3)	(2,536.7)	(3,211.8)	(2,698.1)	(3,201.3)	(3,239.6)	(4,078.5)
Proceeds from the sale of loans held for sale	789.4	338.2	748.8	727.9	611.9	509.6	1,929.5	2,469.8	2,089.9	2,516.3	2,536.7	3,211.8	2,698.1	3,201.3	3,239.6	4,078.5
Change in operating assets and liabilities:	(1.1)	(153.9)	125.1	(111.7)	118.7	(44.0)	(41.1)	197.6	(398.0)	(282.7)	(183.0)	219.0	(447.3)	(232.7)	(208.2)	314.0
Accounts receivables	(19.9)	(208.8)	138.9	11.1	35.6	(52.9)	(241.2)	191.8	(132.7)	(118.8)	(97.3)	250.8	(158.7)	(154.2)	(123.3)	321.8
Other assets	9.4	5.8	31.0	(70.0)	3.9	(14.9)	(29.4)	(64.5)	(160.0)	(250.1)	(126.0)	(150.2)	(171.6)	(174.5)	(155.6)	(162.9)
Accounts payable	(9.6)	41.8	(24.8)	(0.8)	2.4	25.1	41.5	(15.4)	(20.6)	17.0	25.7	(8.1)	(26.2)	18.3	35.3	(6.5)
Payable to third-party loan buyers	19.8	34.7	(17.9)	(63.5)	47.9	21.3	72.9	76.3	(53.7)	60.2	2.9	95.3	(72.6)	71.1	5.4	118.5
Accrued interest payable	(2.3)	2.8	1.6	3.4	(0.1)	0.2	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0	1.0
Accrued expenses and other liabilities	1.5	(30.1)	(3.6)	8.1	29.1	(22.8)	113.9	5.5	(32.1)	9.0	10.8	30.0	(19.4)	5.6	28.9	42.1
Cash flow from operations	210.4	74.6	374.6	173.7	386.5	296.2	314.4	629.1	49.0	191.6	315.7	810.7	166.9	433.4	468.6	1,103.7
Cash Flow from Investing Activities																
Purchases and origination of loans held for investment	(7,676.1)	(9,817.6)	(9,797.4)	(12,665.1)	(10,935.5)	(13,262.3)	(6,623.3)	(8,477.9)	(7,098.3)	(8,546.6)	(8,707.8)	(11,025.1)	(9,359.1)	(11,104.7)	(11,237.6)	(14,147.6)
Proceeds from the sale of loans held for investment	2,858.5	4,449.4	4,282.8	5,323.1	4,497.4	5,580.3	189.8	195.7	235.0	226.8	248.5	256.7	307.0	297.3	324.6	333.5
Principal repayments and other loan servicing activity	4,988.2	5,006.0	5,359.3	5,890.3	6,676.0	6,726.5	6,137.0	6,303.4	7,274.5	7,224.9	8,049.5	8,235.3	9,536.4	9,435.9	10,461.2	10,640.0
Acquisition, net of cash and restricted cash acquired	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisitions of commercial agreement assets	(53.0)	(51.1)	(54.4)	(55.7)	(61.4)	(66.9)	(72.5)	(85.7)	(80.5)	(87.7)	(90.4)	(106.5)	(98.7)	(106.6)	(109.9)	(128.8)
Additions to property, equipment and software	(368.7)	(270.3)	(146.5)	(67.9)	(330.5)	(448.0)	(184.8)	(157.6)	(141.5)	(115.9)	(98.9)	(84.3)	(75.7)	(62.0)	(52.9)	(45.1)
Purchases of securities available for sale	263.8	231.4	216.4	210.3	303.5	272.6	340.4	290.3	247.6	213.6	182.1	155.3	132.4	114.3	97.4	83.1
Proceeds from maturities and repayments of securities available for sale	22.8	(2.3)	0.1	0.1	(0.1)	(0.4)	-	-	-	-	-	-	-	-	-	-
Other investing cash flows	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash flow from investing activities	35.5	(454.5)	(139.6)	(1,365.0)	149.4	(1,198.3)	(213.4)	(1,931.8)	436.9	(1,084.9)	(416.9)	(2,568.6)	442.4	(1,426.0)	(517.2)	(3,264.8)
Cash Flow from Financing Activities																
Proceeds from issuance of convertible debt, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from funding debt	6,130.6	7,150.2	7,980.4	9,292.6	10,058.0	10,724.9	6,274.8	8,924.1	7,853.4	9,455.9	10,082.7	12,766.0	10,139.0	12,030.1	12,876.4	16,210.7
Payment of debt issuance costs	(19.7)	(6.5)	(9.5)	(1.2)	(20.2)	(4.6)	(15.7)	(22.3)	(19.6)	(23.6)	(25.2)	(31.9)	(25.3)	(30.1)	(32.2)	(40.5)
Principal repayments of funding debt	(6,384.0)	(7,455.1)	(7,818.6)	(8,032.2)	(10,671.1)	(9,796.9)	(5,764.8)	(7,603.8)	(7,367.2)	(8,504.5)	(8,938.5)	(10,976.2)	(10,913.5)	(11,476.7)	(11,665.7)	(14,078.6)
Extinguishment of convertible debt	-	-	(24.8)	(0.9)	-	-	-	(248.7)	-	-	-	-	-	-	-	-
Proceeds from issuance of notes and residual trust certificates by	1,000.0	750.0	1,100.0	-	1,750.0	-	-	-	-	-	-	-	-	-	-	-
Principal repayments of notes issued by securitization trusts	(900.0)	-	(1,100.0)	-	(1,250.0)	-	-	-	-	-	-	-	-	-	-	-
Proceeds from issuance of redeemable convertible preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Conversion of redeemable convertible preferred stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from initial public offering, net	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from exercise of common stock options and warrants and	10.5	10.8	94.8	9.3	38.6	16.3	1.9	41.2	0.7	5.6	2.5	53.5	0.9	7.1	3.1	67.6
Repurchases of common stock	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Payments of tax withholding for stock-based compensation	(83.0)	(62.2)	(112.3)	(80.9)	(58.0)	(74.0)	-	-	-	-	-	-	-	-	-	-
Cash flow from financing activities	(245.6)	387.3	110.1	1,186.6	(152.6)	865.6	496.2	1,090.6	467.3	933.3	1,121.4	1,811.3	(798.9)	530.4	1,181.6	2,159.3

2025A CY25A	2026E CY26E	2027E CY27E	2028E CY28E	2029E CY29E
282.3	2,092.3	1,082.5	1,516.1	(1,387.0)
680.8	940.7	1,220.5	1,581.8	2,037.0
(266.5)	(350.5)	(464.8)	(605.8)	(780.3)
(497.0)	(640.9)	(848.2)	(1,018.2)	(1,253.9)
(1.5)	-	-	-	-
4.4	(1.5)	-	-	-
31.7	16.0	12.8	7.0	3.9
31.5	36.8	75.7	110.4	140.8
(35.7)	(40.1)	(29.1)	(15.6)	(8.3)
179.7	189.5	239.2	304.3	385.0
304.8	312.4	412.7	524.8	664.0
264.4	313.0	310.3	342.2	396.9
0.0	(1,455.2)	0.0	0.0	0.0
(3.2)	(17.0)	-	-	-
(2,604.9)	(5,521.2)	(10,354.7)	(13,217.5)	(16,845.7)
2,604.2	5,520.8	10,354.7	13,217.5	16,845.7
(141.5)	231.1	(644.6)	(574.2)	2,707.2
(78.8)	(66.7)	(99.1)	(114.4)	(146.2)
(23.8)	(105.0)	(686.3)	(664.5)	(657.3)
6.6	53.5	14.0	21.0	898.3
(26.9)	218.5	104.8	122.4	162.0
5.5	2.2	4.2	4.2	4.2
(24.2)	128.7	17.8	57.2	2,446.3
833.3	1,626.2	1,367.0	2,172.6	2,905.3
(39,956.2)	(39,299.0)	(35,377.8)	(45,848.9)	(59,042.9)
16,913.8	10,463.2	967.0	1,262.4	1,626.0
21,243.7	25,843.0	30,784.3	40,073.5	51,609.2
-	-	-	-	-
(214.2)	(286.5)	(365.0)	(444.1)	(561.9)
(853.4)	(1,120.9)	(440.6)	(235.7)	(126.1)
921.9	1,206.8	798.6	427.3	228.6
20.7	(0.5)	-	-	-
(1,923.6)	(3,194.0)	(3,633.6)	(4,765.6)	(6,267.1)
-	-	-	-	-
30,563.9	35,981.8	40,157.9	51,256.2	65,334.6
(36.9)	(62.8)	(100.4)	(128.1)	(163.3)
(29,689.8)	(33,836.5)	(35,786.4)	(48,134.5)	(61,372.3)
(25.8)	(248.7)	-	-	-
2,850.0	1,750.0	-	-	-
(2,000.0)	(1,250.0)	-	-	-
-	-	-	-	-
-	-	-	-	-
-	-	-	-	-
125.4	98.0	62.3	78.8	99.8
(338.5)	(132.0)	-	-	-
1,438.4	2,299.7	4,333.4	3,072.4	3,898.8

2026A FY26A	2027E FY27E	2028E FY28E	2029E FY29E
1,929.8	874.0	1,295.7	1,610.2
796.7	1,060.7	1,386.8	1,780.1
(305.4)	(406.3)	(531.8)	(687.7)
(596.6)	(727.9)	(923.4)	(1,120.4)
(1.5)	-	-	-
0.4	-	-	-
18.9	17.3	9.5	6.2
28.2	55.6	96.4	125.4
(35.4)	(39.8)	(21.3)	(11.4)
192.3	209.5	269.7	341.4
304.7	361.5	465.3	588.9
303.3	303.6	323.7	366.3
(1,455.2)	0.0	0.0	0.0
(36.1)	-	-	-
(2,599.4)	(9,005.4)	(11,648.0)	(14,796.5)
2,598.2	9,005.4	11,648.0	14,796.5
88.1	(524.2)	(644.0)	(640.3)
132.6	(302.0)	(159.4)	(194.3)
(50.1)	(504.0)	(622.2)	(649.4)
1.8	22.5	9.7	20.9
(12.1)	155.8	96.7	120.0
5.2	4.2	4.2	4.2
10.8	99.4	27.0	58.3
1,231.0	1,184.2	1,726.6	2,357.5
(46,660.3)	(30,746.1)	(40,196.7)	(51,596.3)
19,683.6	847.2	1,109.5	1,437.8
24,652.1	26,939.9	35,257.1	45,510.1
-			

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - [Options_Probabilities_Exhibit_Link.pdf](#)
2. View descriptions of Risk Rewards Themes - [RR_Themes_Exhibit_Link.pdf](#)
3. View explanation of regional hierarchies - [GEG_Exhibit_Link.pdf](#)
4. View explanation of Theme/Exposure methodology - [ESG_Sustainable_Solutions_External_Link.pdf](#)
5. View explanation of HERS methodology - [ESG_HERS_External_Link.pdf](#)

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Global Stock Ratings Distribution

(as of July 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

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COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/27/2026)
James E Faucette		
Affirm Holdings Inc (AFRM.O)	E (06/25/2026)	\$77.49
Automatic Data Processing Inc (ADPO)	E (02/25/2021)	\$284.68
Block, Inc (XYZ.N)	O (02/27/2026)	\$84.85
Broadridge Financial Solutions Inc. (BR.N)	E (12/14/2022)	\$183.08
Chime Financial Inc (CHYM.O)	O (07/07/2025)	\$33.36
Circle Internet Group Inc. (CRCL.N)	U (08/03/2026)	\$94.24
Evertec Inc (EVT.C.N)	E (11/21/2024)	\$29.47
Fidelity National Information Services (FIS.N)	E (07/07/2026)	\$40.55
Fiserv Inc. (FISV.O)	E (10/30/2025)	\$52.58
Galaxy Digital Inc. (GLXY.O)	O (11/06/2025)	\$25.29
Global-e Online Ltd. (GLBE.O)	E (08/10/2026)	\$39.49
Global Payments Inc (GPN.N)	O (07/20/2026)	\$92.74
Jack Henry & Associates, Inc. (JKHY.O)	E (06/15/2022)	\$169.64
Klarna Group Plc (KLAR.N)	E (10/06/2025)	\$14.01
MasterCard Inc (MA.N)	O (03/28/2016)	\$591.73
Paychex Inc (PAYX.O)	E (02/25/2021)	\$126.48
PayPal Holdings, Inc. (PYPL.O)	U (12/18/2025)	\$61.47
Shift4 Payments Inc. (FOUR.N)	E (08/25/2023)	\$43.94
SS&C Technologies Holdings, Inc. (SSNC.O)	E (10/28/2019)	\$83.47
Upstart Holdings, Inc. (UPST.O)	E (02/14/2025)	\$30.46
Verra Mobility Corp (VRRM.O)	E (05/26/2021)	\$4.41
Visa Inc. (V.N)	O (03/28/2016)	\$379.66
Western Union Co (WU.N)	U (02/02/2015)	\$7.21
Michael N Infante		
Corpay Inc (CPAY.N)	O (01/26/2026)	\$403.67
Flywire Corp (FLYW.O)	O (03/02/2026)	\$18.70

Marqeta, Inc. (MQ.O)	E (02/25/2026)	\$16.21
nCino, Inc. (NCNO.O)	O (09/10/2025)	\$23.32
NerdWallet Inc. (NRDS.O)	U (03/13/2026)	\$9.70
Q2 Holdings Inc (QTWO.N)	E (08/10/2020)	\$65.68
WEX Inc (WEX.N)	E (02/25/2021)	\$198.43

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